

26VECV01496 26VECV01496

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26VECV01496 JEROLD ADAMS vs CRESTVIEW

LANDSCAPING, INC., et al.

June 26, 2026, at 8:30 a.m.

Van Nuys Courthouse East, Dept. I

Tentative Ruling – Motion to Compel Arbitration

I.

Background

On March 12, 2026, Plaintiff Jerold Adams (“Plaintiff”) filed a complaint against Defendants Crestview Landscape, Inc. (“Crestview Landscape”), Pierre Landscape, Inc. (“Pierre Landscape”)(collectively “Defendants”), and Does 1 to 25 alleging sixteen causes of action: (1) disability discrimination; (2) failure to accommodate under FEHA; (3) failure to engage in the interactive process; (4) harassment under FEHA; (5) retaliation under FEHA; (6) failure to provide overtime wages; (8) failure to timely pay wages upon termination; (9) failure to furnish compliant wage statements; (10) failure to provide rest periods; (11) failure to provide meal breaks; (12) failure to reimburse necessary expenditures; (13) unfair business practices; (14) retaliation in violation of Cal. Lab. Code § 1102.5; (15) wrongful termination in violation of public policy; and (16) breach of contract.

On May 11, 2026, Defendants filed the instant motion to compel arbitration.

On May 18, 2026, Plaintiff filed his “procedural objections” to the motion.

On June 3, 2026, Defendants filed their reply.

On June 10, 2026, the Court continued hearing on the motion to allow Plaintiff and Defendants opportunities to file substantive opposition and reply.

On June 12, 2026, Plaintiff filed his opposition.

On June 17, 2026, Defendants filed their supplemental reply.

II. Legal Standard

In deciding a motion to compel arbitration, trial courts must first decide whether an enforceable arbitration agreement exists between the parties and then determine the second gateway issue of whether the claims are covered within the scope of the agreement. (See *Omar v. Ralphs Grocery Co.* (2004) 118 Cal.App.4th 955, 961.) (See also *Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F. 3d 1126, 1130 [“The court’s role under the [Federal Arbitration Act (“FAA”)] is therefore limited to determining (1) whether a valid agreement to arbitrate exists and, if it does, (2) whether the agreement encompasses the dispute at issue.”]. “The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense.” (*Engalla v. Permanente Medical Group, Inc.* (1997) 64 Cal.Rptr.2d 903, 915-16.) “In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court’s discretion, to reach a final determination.” (*Id.* at 916.) No jury trial is available for a motion to

compel arbitration. (Ibid.)

Accordingly,
under both the FAA and California Law, arbitration agreements are valid,
irrevocable, and enforceable, except on such grounds that exist at law or
equity for voiding a

contract. (Winter
v. Window Fashions Professions, Inc. (2008) 166 Cal.App.4th 943, 947.)

III. Discussion

Objection to Reply

As a preliminary matter, the Court
addresses Plaintiff's June 22, 2026, notice of non-service and objection.
Plaintiff argues that "Defendants' proof of service used an email addresses
with a different domain, goldbergloloren.com, and Plaintiff did not receive
[the reply] by June 17 filing through service." (Objection at 3:1-5.) However,
Plaintiff admits to downloading the reply from the Court's website on June 19,
2026. (Id. at 3:18-21.) Additionally, Defendants re-served the reply to
the correct email address on June 22, 2026. (See June 22, 2026, Herron
Decl.)

Accordingly, Plaintiff's objection
is overruled.

Plaintiff also argues that
Defendants' reply exceeds the ten-page limit imposed by Cal. Rules of Court
Rule 3.1113. (See CRC Rule 3.1113.) The Court agrees, and therefore
disregards any argument made after page 10 of Defendants' reply. (See
generally Reply.)

Analysis

Defendants move for an order
"compelling this matter back to arbitration in accordance with the arbitration
agreement [Plaintiff] entered into on May, [sic] 10, 2020, and in accordance
with the Court order dated September 5, 2025, which enforced the parties' joint
stipulation for arbitration . . ." (Motion at 1:22-2:2.) Defendants argue that

“this case proceeded in arbitration for 8 months before Plaintiff sought to withdraw.” (Id. at 2:9-20.) “Throughout this time, [Defendants] diligently and fully paid for the arbitration, only to have Plaintiff seek to withdraw from the arbitration based on a purported minor delay in paying one arbitration invoice over the 2025 winter holidays.” (Ibid.) “Critically, multiple representatives from the [American Arbitration Association (“AAA”)] confirmed that the AAA has no records of untimely payments in the arbitration, and the AAA has not issued a notice of default related to the ongoing arbitration proceedings.” (Id. at 21-28.)

In opposition, Plaintiff argues that, under CCP § 1281.98, Defendants' untimely payment of required arbitration fees permits Plaintiff to withdraw from arbitration and proceed in court. (See Opposition at p. 8.) “On December 3, 2025, AAA sent correspondence advising that the employer had been billed \$1,491.00 for incurred arbitrator compensation . . . On December 20, 2025, AAA sent a courtesy reminder stating that the deposit remained due as of November 17, 2025, that [CCP] section 1281.98 applied, and that AAA could not extend the payment deadline unless all parties agreed . . . On January 8, 2026, AAA sent written notice stating that it had not received the \$1,491.00 payment requested in the December 3 correspondence. That notice expressly cited section 1281.98, asked Claimant how he wished to proceed, and asked the parties to confirm any agreed extension of the payment deadline.” (Id. at 8:20-9:2.) “On January 16, 2026, AAA asked again how Claimant intended to proceed. On January 23, 2026, AAA followed up once more. Plaintiff then advised AAA that Claimant was awaiting the scheduled March 12 mediation before further engaging on the issue. AAA responded that the outstanding balance for incurred arbitrator compensation ‘should be paid immediately’ and that, if payment was not received, AAA would advise the arbitrator, who could suspend or close the matter for nonpayment.” (Id. at 9:9-16.)

Then, after the March 12, 2026, mediation did not resolve the action, Plaintiff gave notice pursuant to CCP § 1281.98. CCP § 1281.98 provides that “[i]f the drafting party materially breaches the arbitration agreement and is in default . . . the employee or consumer may unilaterally elect to do any of the following: (1) Withdraw the claim from arbitration and proceed in a court of appropriate jurisdiction.” (CCP § 1281.98(b).) “On March 17, 2026, Plaintiff advised AAA and the arbitrator that Claimant understood the Court would determine Claimant's position under section 1281.98 . . .” (Opposition at 9:17-28.)

Notably, Defendants argue that the arbitration clause provides that “[e]xcept as otherwise specifically provided in this Agreement to Arbitrate (“Agreement”), the enforcement of this Agreement, and the conduct of the arbitration proceeding are governed by the Federal Arbitration Act.” (Motion at 12:3-7 [citing Herron Decl. Exh. A])(emphasis in original.) “By its terms, the parties agreed that both the enforceability of the Agreement and the procedures governing the arbitration would be controlled by federal law.” (Ibid.) “Under the FAA’s equal treatment principle, section 1291.98 cannot be applied in a manner that imposes arbitration-specific forfeiture or overrides the parties’ agreement absent conduct that would justify such a result under ordinary contract principles.” (Id. at 16-19.)

Defendants also rely on *Hohenshelt v. Superior Court* (2025) 18 Cal.5th 310, holding that CCP § 1291.98 does not act as a “strict forfeiture rule” and instead only applies where nonperformance is “willful, grossly negligent, or fraudulent.” (*Hohenshelt*, supra, at 323.) Notably, *Hohenshelt* also holds that CCP § 1291.98 is not preempted by the FAA. (Id. at 323.)

Hohenshelt Analysis

Pursuant to *Hohenshelt*, the governing framework is whether “the delay [in nonpayment] resulted in compensable harm.” (*Hohenshelt*, supra, at 349.)

First, the Court finds that Defendants’ nonpayment was not “willful, grossly negligent, or fraudulent.” (*Hohenshelt*, supra, at 323.) Defendants missed a singular payment over the course of the holidays. Defendants also timely made all other payments in this matter. (Motion at 7:24-8:2.)

Plaintiff argues that he suffered “compensable harm” because he “was required to address the statutory default at issue, evaluate forum rights, respond to AAA’s payment correspondence, preserve the AAA file, make an election after mediation failed, and litigate Defendants’ renewed effort to compel arbitration.” (Opposition at 16:18-17:5.) Plaintiff also argues that he “continued to incur concrete arbitration-related costs while the payment issue remained unresolved. Plaintiff pursued

arbitrator-issued third-party subpoenas and scheduled depositions during that period.” (Ibid.)

However, this “harm” described are costs ordinarily incurred in the course of arbitration or refusal to participate in arbitration. They are not “compensable harm” as described by Hohenshelt. Instead, Hohenshelt identifies “compensable harm” as consequences that are “significant to the employee, who may not be able to pay bills, rent or other expenses that could result in the loss of their residence, or damage to their credit rating, while the dispute remains unresolved.” (Hohenshelt, *supra*, at 339.) Here, Plaintiff does not identify any such extreme hardship; instead, Plaintiff identifies the ordinary costs and expenses of arbitration and litigation.

Based on the foregoing, the Court finds that arbitration remains proper pursuant to Hohenshelt.

IV. Conclusion

Based on the foregoing, the instant motion is GRANTED. The parties are ordered back into arbitration and the action is stayed.

Moving party to give notice.